

an element of the real-world marketplace where some traders are better informed than others and these traders trade with each other in financial markets.

The results are shown in [Figure 3.10](#), where the returns are shown net of the market. So a positive return means the investor beat the market, a negative number means the investor lost to the market, and a score of 0 means the investor tied the market. Amazingly, only the most informed traders with complete insider information can reliably beat the market. While it is unsurprising that a total insider could beat the market, it is striking that the partially informed traders do not. While the partially informed traders should outperform the market because they have privileged information, they do not, largely because they suffer from overconfidence and overvalue their own information set, and are therefore unable use it effectively. In fact, partially informed traders, on average, underperform. Uninformed investors, who know they have no information, are less likely to suffer from the cognitive bias of overconfidence, and thus end up achieving the market return, which in this experimental setting, is an admirable achievement.